



“CAN’T CHASE A SACROSANCT NUMBER ON DIVESTMENT”

Dipam Secretary Tuhin Kanta Pandey says the Centre’s disinvestment drive goes beyond raising revenue to ensuring efficiency and accountability of public sector enterprises

BY SURABHI



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TUHIN KANTA PANDEY, Secretary in the Department of Investment and Public Asset Management (Dipam), plays a key role in helping the exchequer raise revenue every year. But, in an interview to *Business Today*, he explains that the role of Dipam is not about meeting targets by putting central public sector enterprises (CPSE) on the block. The department, says Pandey, strikes a fine balance between a calibrated nuanced disinvestment strategy and a consistent dividend policy, which also takes care of growth needs of the CPSEs. Edited excerpts:

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Are you happy with the pace of disinvestment and the returns that the government has received?

Dipam handles both disinvestment as well as dividend. In many cases, they are interlinked and the government is dependent on both for fiscal receipts. When we do a share sale or disinvestment, we forego the revenues from the dividends going forward. If we look at our disinvestment policy, it has got two pillars. The first pillar of disinvestment is

minority stake sale, which includes IPO, FPO, OFS and buybacks. In an IPO, we take an unlisted company to the market with the intent to not only raise receipts but also to improve corporate governance and accountability. The other pillar, which was opened in 2016 after a long period, is privatisation, which is a much deeper reform. From 2014, we have got about ₹4.17 lakh crore in a matter of nine years as disinvestment receipts.

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Over the years, the kind of opposition one used to see towards disinvestment has come down.

We are not looking at an LIC FPO in the immediate future. We have sold 3.5 per cent stake and LIC has a very large market cap

Do you agree? What are the reasons for this change?

We have offered shares to employees in minority stake sales. The basic resistance from employees comes when we talk of privatisation and transfer of management control. But some of the privatisation done prior to 2004 and subsequently, such as Air India and Neelachal Ispat [Nigam], has not impacted employees adversely. In the case of Air India, several transformative steps have been taken and the growth of the enterprise has been opened. Similarly in Neelachal Ispat, the employees could not even be paid their salaries. It had about ₹350 crore of dues pending, and the plant was closed for two years. It has all been reversed within a year since we divested it in July 2022... Everyone has gained—employees have gained, the banks have gained—it’s a win-win for everyone. There may be apprehensions [about privatisation] but we can ease them through talks. In the last few years, we have been able to convince the courts, and courts have generally ruled that they don’t want to interfere in disinvestment policy, because